SUMMARY · MK 5 DECISION MAKING & NEGOTIATION · WEEK 8

Opening the Negotiation Class: Deciding in Interactive Situations

Week 8 opens the negotiation part (Utomo Sarjono Putro, SBM ITB). Core message: in real life we don't decide in a vacuum — other decision makers' choices interact with ours, so we cannot control 100% of the outcome. Covered: ceteris paribus vs interactive situations (kicking a ball vs kicking a dog), how learning happens in class, the four learning activities, and grading. Because the opening slides are short, this summary adds a clearly marked primer on negotiation basics (BATNA, reservation point, ZOPA, distributive vs integrative).

Material

1 Three opening questions

1. **Why do you need negotiation?** Most important decisions involve others: pay, contracts, workload, budgets, family matters.
2. **What is a successful negotiation?** Not just "winning": a better result than your best alternative, an agreement both sides carry out, and a relationship that survives.
3. **What do you expect from this class?** It demands active participation — theory, cases and role plays.

Reflection tip

Pick one real negotiation you will face in the next 3 months and use it as a personal project throughout the class.

2 We don't act in a vacuum

- In real situations you don't act in a vacuum.

- You are surrounded by **active decision makers** whose choices interact with yours.
- This interaction strongly affects your thinking and actions.

> **Key takeaway**
> In interactive situations you **cannot control 100% of the result** of your decision.

This bridges decision making (weeks 1–7) to negotiation: earlier tools assume a passive "nature"; in negotiation the other side **thinks and reacts** — like a strategic game.

3 Interactive vs ceteris paribus: ball vs dog

Kicking a ball — CETERIS PARIBUS: predictable

The result follows from calculable factors: force and angle, wind, ball weight.

vs

Kicking a growling dog — INTERACTIVE: depends on the other

The kicker gets feedback from another living thing that might **bite, flee, crouch submissively or ignore** the kick.

Aspect	Ceteris paribus	Interactive
Other party	Passive / absent	Active, with own goals
Prediction	From measurable factors	Depends on the other's reaction
Thinking	One-sided optimisation	Anticipating moves and responses
Business example	Machine settings	Bargaining with suppliers; pricing when rivals can retaliate

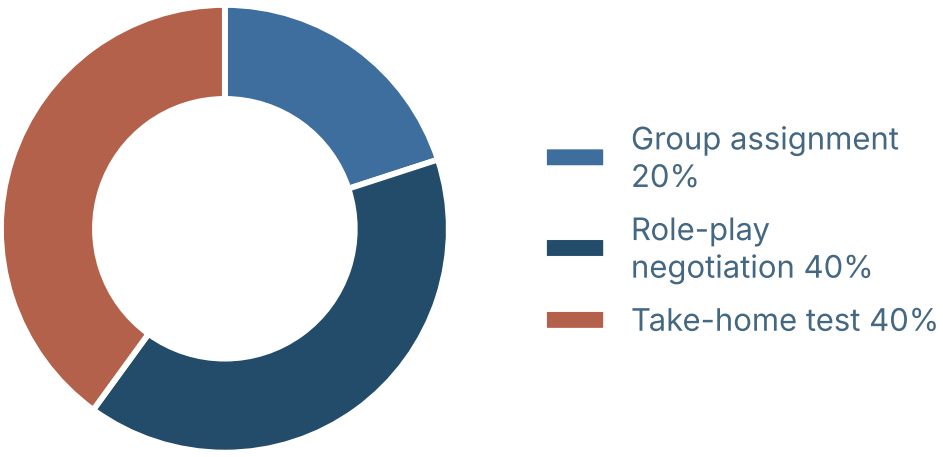
4 How learning happens in the negotiation class

Inputs: cases/role plays, partners' experiences and lessons, and theories → **learning** touching behaviour, knowledge, and experience & intuition — all continuously **criticised**.

Step	Activity	Content
1. Before class	Individual work	Read the cases/materials before group discussion or negotiation.
2. Group work	Group assignments	All members meet; facilitator may join; submit on time by email or Google Classroom.
3. In class	Discussions	Everyone joins facilitated discussions.
4. Role play	Negotiation	Instruction → preparation → two groups negotiate → submit results on time.

5 Grading

Negotiation grading mix



Group work and role play are 60% of the grade; attendance matters.

Component	Weight	Assessed

Group assignment	**20%**	Submitted on time
Role-play negotiation	**40%**	Teamwork, on-time results, participation
Take-home test	**40%**	Individual

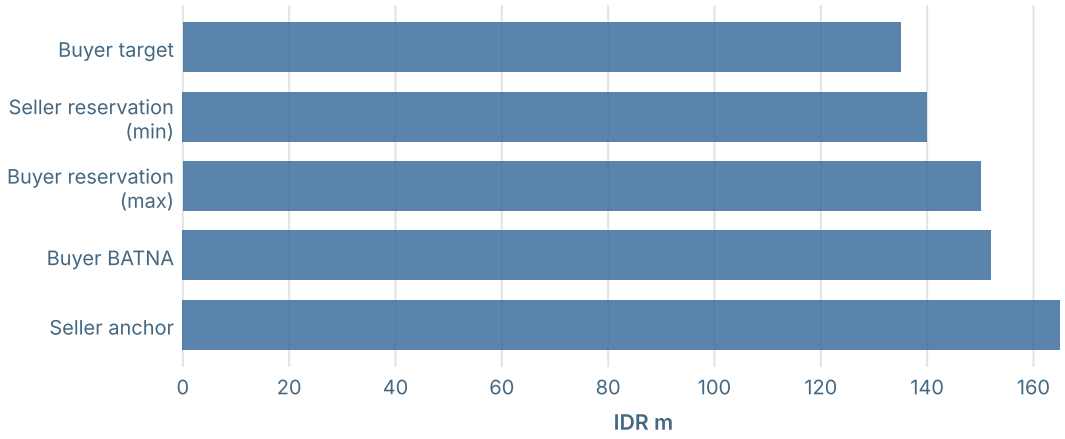
> **Important**
> Absent participants get no score.

6 Supplementary primer: negotiation basics

> **Note**
> This part is **not from the week 8 slides**; it's added as a starter kit for role plays. Follow your lecturer's definitions if they differ.

Concept	Meaning	Example (used car)
BATNA	Your best option if talks fail; stronger BATNA = stronger position.	A similar car elsewhere at IDR 152m
Reservation point	The worst deal you'd still accept, set by your BATNA.	Buyer: max 150m
Target	Realistic ideal outcome.	Buyer wants 135m
ZOPA	Overlap between both reservation points; none → no deal.	Seller min 140m → ZOPA 140–150m
Anchoring	The first offer tends to become the reference point.	Seller opens at 165m

ZOPA illustration, used car (IDR m)



ZOPA lies between 140 (seller's floor) and 150 (buyer's ceiling). Illustrative, not from slides.

Distributive (win–lose)

Fixed pie; usually one issue; claim value.

vs

Integrative (win–win)

Expand the pie with several issues and trade-offs; focus on **interests** behind positions.

Key takeaways

1. We don't decide in a vacuum: other active decision makers' choices interact with ours.
2. Key takeaway: in interactive situations we cannot control 100% of the result.
3. Ceteris paribus (kicking a ball) is predictable from measurable factors; interactive (kicking a dog) depends on the other's reaction.
4. Learning: inputs (cases/role plays, partners' experiences, theories) → behaviour, knowledge, experience & intuition, continuously criticised.
5. Four activities: before class, group work, in class, role play (instruction → preparation → negotiation → submission).
6. Grading: group assignment 20%, role play 40%, individual take-home test 40%; absent = no score.
7. Supplement (not slides): BATNA, reservation point, target, ZOPA, anchoring; distributive vs integrative.

Case studies

Case & worked answers

Practice: a salary negotiation through the 'ball vs dog' lens

Illustrative practice, not a real case or from the slides. Rina is offered IDR 15m/month, holds another offer at 16m (BATNA) and wants 18m. Ceteris-paribus thinking treats HR like a ball ("they'll surely agree"). Interactive thinking prepares for agree / counter at 16.5m / non-salary perks / withdrawal. Reservation point 16m; if the firm's max is 17m, ZOPA = 16–17m. If salary stalls, add issues (WFH, training budget, 6-month review). Lesson: you control preparation, not 100% of the outcome.

Practice questions

Try answering first. The answer key is below each question.

1. The key takeaway of 'We don't act in a vacuum' is...

A. The best decision can always be computed
B. In interactive situations you can't control 100% of the result
C. Negotiation is only about price
D. Others are always rational

Answer: B. Others' choices interact with ours.

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2. Kicking a soccer ball is an example of...

A. An interactive situation
B. Ceteris paribus — predictable from calculable factors
C. Integrative negotiation
D. A zero-sum game

Answer: B. Force, angle, wind, weight decide it; the ball doesn't react.

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3. Why is kicking a growling dog interactive?

A. The dog is heavier
B. The result also depends on the dog's response (bite, flee, crouch, ignore)
C. It can't be measured at all
D. Because of legal rules

Answer: B. The kicker gets feedback from a living thing with its own choices.

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4. 'Ceteris paribus' means...

A. Everyone wins
B. All other things held constant
C. Joint decision
D. Without information

Answer: B. Fine for technical problems, not for negotiation.

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5. Which business example is interactive?

A. Setting oven temperature
B. Computing raw-material needs
C. Raising prices when rivals can retaliate
D. Measuring machine hours

Answer: C. The outcome depends on rivals' and customers' reactions.

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6. What are the INPUTS of learning in this class?

A. Exams and quizzes only
B. Cases/role plays, partners' experiences & lessons, and theories
C. Videos and books only
D. Previous grades

Answer: B. Inputs become behaviour, knowledge, experience & intuition — then criticised.

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7. The 'Before class' activity is...

A. Inter-group negotiation
B. Reading cases individually before discussion or negotiation
C. Submitting to Google Classroom
D. Class discussion

Answer: B. Step 1 = individual reading.

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8. The correct role-play sequence is...

A. Negotiate → instruct → prepare → submit
B. Instruction → preparation → negotiation → submission
C. Prepare → submit → instruct → negotiate
D. Submit → negotiate → prepare → instruct

Answer: B. Instruction, preparation, negotiation, then on-time submission.

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9. The role-play negotiation weight is...

A. 20%
B. 30%
C. 40%
D. 60%

Answer: C. 20% / 40% / 40%.

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10. Which assessed component is individual?

A. Group assignment
B. Role play
C. Take-home test
D. Group discussion

Answer: C. The take-home test (40%) is individual.

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11. What happens if you are absent, per the grading slide?

A. Minus 10%
B. No score
C. Make up any time
D. No consequence

Answer: B. Absent participants get no score.

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12. [Supplement] BATNA is...

A. The first offer
B. Your best alternative if talks fail
C. The zone of possible agreement
D. Average market price

Answer: B. Stronger BATNA, stronger position.

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13. [Supplement] Seller min IDR 140m, buyer max 150m. The ZOPA is...

A. None
B. 140–150m
C. 135–165m
D. Exactly 145m

Answer: B. ZOPA = overlap of both reservation points.

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14. [Supplement] Negotiation that expands the pie with several issues and focuses on interests is...

A. Distributive
B. Integrative
C. Ceteris paribus
D. Anchoring

Answer: B. Integrative (win–win) vs distributive (fixed pie).

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15. What distinguishes negotiation from one-sided decision tools?

A. It needs no data
B. Other active decision makers influence each other
C. It always yields win–win
D. It's only for sales

Answer: B. Interaction with other decision makers changes thinking and action.

Sources

- P3MD Week 8 MK5 — Opening Negotiation class (Utomo Sarjono Putro, SBM ITB)
- Supplement: Fisher & Ury — Getting to Yes (BATNA); Lewicki et al. — Negotiation (ZOPA, distributive vs integrative)